Underneath a thick layer of risk and fear, 2027 could turn out to be a surprisingly benign year for the global economy. At least if politics, (AI) investment, stock markets and central banks fall into place at the right time



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and a president who has spent two years reshaping the post-war international order now faces a Congress with the power to push back. In Europe, too, a crowded election calendar will put governments and political alliances to the test. And beyond the ballot box, a different kind of power struggle is playing out: the battle for control of trade, technology and energy. Put it all together, and the outlook starts to read like a high-stakes political thriller.

For two years, one current has dominated the global economy: artificial intelligence. A handful of US tech giants have poured hundreds of billions of dollars into data centres, chips and models,

propping up US growth and carrying equity markets to record highs. In 2027, that surge is likely to ease somewhat. That by itself is not a cause for alarm. The current is spreading into grids, power plants and infrastructure, and into the many firms that are only now beginning to put AI to work. Growth should become less spectacular, but broader. How stock markets respond is for investors to decide.

An important prerequisite for the AI boom to end in a soft landing is falling energy prices. If they do fall, central banks might finally be able to do something they have rarely done since the pandemic: sit on the sidelines. If prices remain high, however, the picture changes.

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East ease, Europe still faces a structural disadvantage: energy remains more expensive than for many of its competitors. This problem still needs to be addressed.

And then there's politics. The impact of the US midterms will clearly spill over into the new year. The question is whether Donald Trump becomes a conventional 'lame duck', or an altogether less predictable 'angry duck'. Early statements from Trump and senior Republicans immediately after the midterm results suggested his final two years in office could be conciliatory. The appointment of

Stephen Miller as White House Chief of Staff, however, points in a more confrontational direction.

While the US is shifting into a new political era, Europe risks following America's populist turn, albeit with a lag measured in years rather than months. Elections in France, Italy, Spain, Poland and possibly even Germany carry the risk of further political fragmentation and more extreme economic policies. Recent riots in many European cities signal that intergenerational conflict, the cost of living and housing affordability have become deep-rooted societal problems across much of the developed world.

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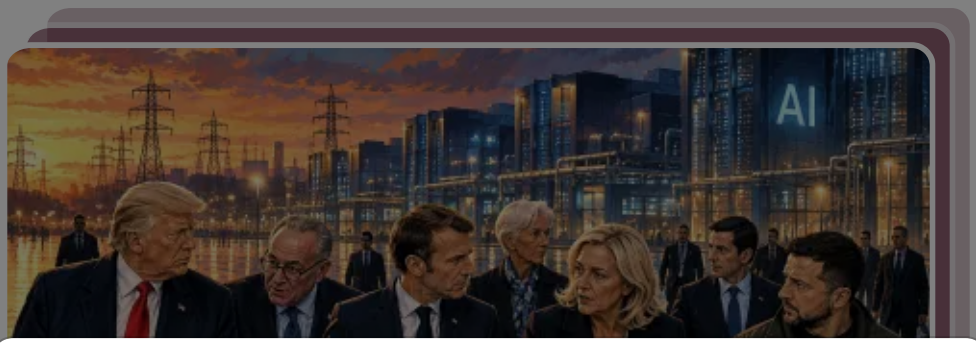
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